

New world order: Security spending enters a super cycle

Published: FEBRUARY 5, 2026

Source: <https://www.franklintempleton.com/articles/2026/equity/new-world-order-security-spending-enters-a-super-cycle>

Extraction method: selenium

New world order: Security spending enters a super cycle

The world is rearming. Heightened global geopolitical tensions and shifting US defense priorities mean other nations must do more individually to ensure they meet their own security needs. As a result, we expect greater global defense spending for years to come.

We have already seen European and Asian leaders increase their focus on developing deeper domestic defense capabilities to confront these new geopolitical realities. And US defense spending is likely to further rise to meet new policy objectives, including a greater focus on domestic security and on the Western Hemisphere.

As US spending climbs, other countries may feel added pressure to further harden their own security. We see potential investment prospects in areas where strategic priorities and production capacity intersect with capital deployment opportunities.

Europe: Early days of a major spending cycle

For Europe and Asia, greater defense spending has taken on a new urgency. War in Ukraine, fractures within NATO, tensions in the Middle East and the potential for conflict between China and Taiwan all mean that individual countries that previously relied on the US defense umbrella must now more actively consider their own defense postures.

In Europe, spending on new arms and weapons systems is already rising. Led by Germany, European defense spending is going to surge over the next decade, reaching nearly US\$700 billion, according to one estimate from investment bank Barclays.¹ Europe not only needs to invest in new domestically made systems, focusing on air defense and long-range strike capabilities as well as intelligence gathering, among other programs, but must also continue to replenish arms sent to Ukraine.

And if the 27 European Union (EU) countries are to meet the 3.5% of gross domestic product (GDP) NATO spending target, the bloc would need to spend more than ?630 billion (US\$746 billion) a year compared with an estimated ?381 billion in 2025, according to the European Defence Agency.² (See Exhibit 1.) We are optimistic that given the urgency European countries face to become more self-reliant, defense spending can climb to—and remain at—a much higher level beyond the 2030 time frame.

Exhibit 1: European Defense Spending Has Boomed

2005-2025E (E=Estimated)

Source: European Defence Agency. As of September 1, 2025. There is no assurance any estimate, forecast or projection will be realized.

The constant budgetary tension between higher defense spending and Europe's social spending will likely continue, but we see signs that greater military spending may have more political support, given increased global tensions. However, local politics, economic conditions and the desire to maintain social programs could constrain some European governments from meeting the 3.5% target.

Nonetheless, a massive amount of new spending should be coming even if Europe struggles to meet the loftier goals. We could see increased knock-on economic gains as necessary infrastructure is upgraded to support the military buildup. Germany, for one, is spending significantly on infrastructure alongside its more robust defense budget. (See Exhibit 2.)

Exhibit 2: Germany Ramps Up Expected Defense and Infrastructure Spending

2025E-2029E

Sources: Bloomberg, German Federal Ministry of Finance. As of December 31, 2025. There is no assurance any estimate, forecast or projection will be realized.

As a result, we could see value industries—from cement and asphalt firms to rail and rail signaling equipment companies—benefit as countries upgrade roads, bridges and railways to allow for the easier movement of troops and equipment, potentially leading to faster longer-term economic growth.

Asia: Beefing up defenses

A similar trend is expected in Asia, where a new Japanese government and escalating tensions with China have made greater defense spending a priority. While Japan is currently revising its security policy, it has been budgeting much more for defense, including cruise missiles and unmanned defensive capabilities, to counter perceived risks.

Elsewhere, Australian and South Korean defense spending is set to grow in the mid-single digits in 2026, according to government data, amid increasing risks in the Indo-Pacific region and potentially decreased US involvement. This further rise comes after a steady increase in regional spending in recent years. (See Exhibit 3.) As regional defense spending climbs, domestic arms manufacturers, including the Japanese conglomerates and the big South Korean defense equipment makers, could see growing orders.

Exhibit 3: Asian Defense Spending Has Been Rising

2014-2024 (in US\$ Millions at Constant 2023 Prices)

Source: SPIRI Military Expenditure Database. As of January 15, 2026.

United States: New priorities, more spending

Meanwhile, the apparent US pullback from global alliances has put a greater security burden on Europe and Asia but does not preclude increased US defense spending over the longer term. For the US administration to meet the policy objectives laid out in its recent National Security Strategy, including reasserting itself in the Western Hemisphere and putting resources into a missile defense shield at home, US defense spending should continue to rise, in our view.

The United States already spends significantly more on defense than its European allies. (See Exhibit 4.) The recently proposed US\$1.5 trillion defense budget is nearly double estimated 2025 levels, an indication that spending will rise. For what and by how much remains unclear.

Exhibit 4: US Defense Spending Far Outstrips Non-US Expenditures

2014-2025E (in US\$ Billions, based on 2021 Prices and Exchange Rates)

Source: NATO. As of June 3, 2025. There is no assurance any estimate, forecast or projection will be realized.

We expect policy priorities to center on increased missile and munition production, solid rocket motors for missiles, greater shipbuilding, and space initiatives. In our view, efforts to expand the US defense industrial base are also positive for smaller defense contractors, not just for the big, prime players.

While the extent of US defense spending remains uncertain, we believe that even if the Democrats win the House of Representatives in the November midterm elections this year, many programs have enough political support to receive funding. And any uplift in US spending may put added pressure on European and Asian countries to further ramp up their own outlays.

Finding value in a stronger defense

Certainly, many global defense stocks have rallied over the past year. But we continue to see opportunities, particularly in European defense firms, as the region invests in its own capabilities over the longer term. Efforts to create a common EU defense funding solution and expectations that defense budgets could rise significantly over the next five years could further bolster procurement and earnings at European defense companies.

Major US defense company shares have already seen a solid run, making current US opportunities more limited, in our view. Still, US spending initiatives and the benefits many contractors will see in the medium term from the step-up in European orders for missiles, aircraft, ships, drones and other equipment can create openings for investment. Noise around US budget negotiations and the upcoming mid-term elections could create short-term pressure on major US defense companies, which may create opportunities to pick up shares at more attractive valuation multiples.

The race to rearm is creating a potential global defense super cycle, but keep an eye on stock valuations after the latest run.

Endnotes

Source: Definitely, Maybe. Barclays. September 8, 2025.

Source: Defence Data 2024-2025. European Defence Agency. September 1, 2025.

WHAT ARE THE RISKS?

All investments involve risks, including possible loss of principal.

Equity securities are subject to price fluctuation and possible loss of principal.

Companies in the infrastructure industry may be subject to a variety of factors, including high interest costs, high degrees of leverage, effects of economic slowdowns, increased competition, and impact resulting from government and regulatory policies and practices.

International investments are subject to special risks, including currency fluctuations and social, economic and political uncertainties, which could increase volatility. These risks are magnified in emerging markets.

Large-capitalization companies may fall out of favor with investors based on market and economic conditions.

Small- and mid-cap stocks involve greater risks and volatility than large-cap stocks.

Investment strategies that incorporate the identification of thematic investment opportunities may be negatively impacted if the investment manager does not correctly identify such opportunities or if the theme develops in an unexpected manner. Focusing investments in defense-related industries carries much greater risks of adverse developments and price movements in such industries than a strategy that invests more broadly in a wider variety of industries.

WF: 8643161

CONTRIBUTORS

Amit Dholakia, CFA

Senior Research Analyst, Franklin Equity

Related Content

Explore other Franklin Equity Group Insights

RELATED CONTENT

IMPORTANT LEGAL INFORMATION

This material is intended to be of general interest only and should not be construed as individual investment advice or a recommendation or solicitation to buy, sell or hold any security or to adopt any investment strategy. It does not constitute legal or tax advice. This material may not be reproduced, distributed or published without prior written permission from Franklin Templeton.

The views expressed are those of the investment manager and the comments, opinions and analyses are rendered as at publication date and may change without notice. The underlying assumptions and these views are subject to change based on market and other conditions and may differ from other portfolio managers or of the firm as a whole. The information provided in this material is not intended as a complete analysis of every material fact regarding any country, region or market. There is no assurance that any prediction, projection or forecast on the economy, stock market, bond market or the economic trends of the markets will be realized. The value of investments and the income from them can go down as well as up and you may not get back the full amount that you invested. Past performance is not necessarily indicative nor a guarantee of future performance. All investments involve risks, including possible loss of principal.

Any research and analysis contained in this material has been procured by Franklin Templeton for its own purposes and may be acted upon in that connection and, as such, is provided to you incidentally. Data from third party sources may have been used in the preparation of this material and Franklin Templeton ("FT") has not independently verified, validated or audited such data. Although information has been obtained from sources that Franklin Templeton believes to be reliable, no guarantee can be given as to its accuracy and such information may be incomplete or condensed and may be subject to change at any time without notice. The mention of any individual securities should neither constitute nor be construed as a recommendation to purchase, hold or sell any securities, and the information provided regarding

such individual securities (if any) is not a sufficient basis upon which to make an investment decision. FT accepts no liability whatsoever for any loss arising from use of this information and reliance upon the comments, opinions and analyses in the material is at the sole discretion of the user.

Franklin Templeton has environmental, social and governance (ESG) capabilities; however, not all strategies or products for a strategy consider "ESG" as part of their investment process.

Products, services and information may not be available in all jurisdictions and are offered outside the U.S. by other FT affiliates and/or their distributors as local laws and regulation permits. Please consult your own financial professional or Franklin Templeton institutional contact for further information on availability of products and services in your jurisdiction.

Issued in the U.S. by Franklin Templeton, One Franklin Parkway, San Mateo, California 94403-1906, (800) DIAL BEN/342-5236, franklintempleton.com. Investments are not FDIC insured; may lose value; and are not bank guaranteed.

You need Adobe Acrobat Reader to view and print PDF documents. Download a free version from Adobe's website.

CFA and Chartered Financial Analyst are trademarks owned by CFA Institute.